

This example highlights one way in which you can reduce your taxable income during your working years, but what about during actual retirement?

In retirement, your annual tax obligation will be dependent on what your annual investment withdrawal rate is from your tax-deferred accounts. This annual investment withdrawal is considered income and would be taxable based on the progressive tax brackets of that year. For example, let's say you retire in 20 years to a less expensive location like Florida and your future tax rate is exactly the same as it is today (see 2020 table above). If you are married and filing jointly and you withdraw \$75,000 annually, then your federal income tax obligation as a couple would be \$5,684 at an average tax rate of 7.58%, compared to \$4,484 (an average tax rate of 6.90%) if you were to withdraw \$65,000. Over several years, these amounts really do add up.

You certainly want to enjoy each year of your retirement, especially after working so hard to get there. However, you want to make sure you are withdrawing just what you need in order to minimize your annual tax obligation since the money you save on taxes can stay invested and hard at work on your behalf.

Again, if necessary, be sure to seek professional guidance when it comes to tax-related matters.

Take Action

1. Determine how you can increase your tax-deferred retirement contributions with a goal of maxing out your contributions in order to reduce your taxable income (and increase your investments). If you are unable to max out at this time, start with small percentage increments every quarter or every six months.
2. Based on the determination you made earlier on in this book of how much you need to save for retirement, be sure to factor in taxes to your plan.
3. Consult with a tax professional if you need specific guidance. Also be sure to confirm the latest tax rates on [irs.gov](https://www.irs.gov).